

United States

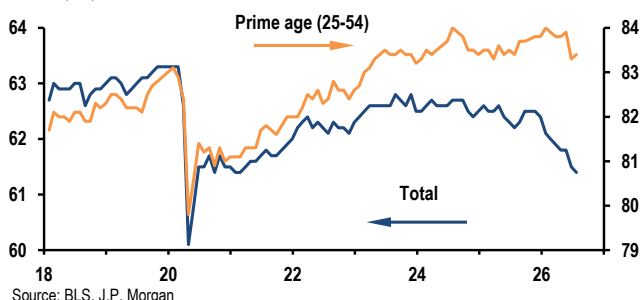
- **The unemployment rate continued to decline, sliding to 4.1% for July from 4.2%...**
- **... but the establishment survey was soft and the participation rate fell yet again**
- **On balance the economy should still be OK, and we've raised 3Q GDP from 1.75% to 2.5%**
- **The September FOMC will hinge on upcoming inflation reports; we expect 0.22% core CPI next week**

A constellation of indicators suggests that the economy remains on a solid footing, and we've raised our 3Q GDP forecast from 1.75% to 2.5%. Nonetheless, the signals from the July employment report were more mixed than they had been in prior months. The good news was that the unemployment rate fell a full 10bp, from 4.2% to 4.1%, and is at the lowest point since the start of last year. That improving trend has been backed up by other related measures, such as continuing claims. But falling unemployment also came with a 23k drop in nonfarm payrolls and downward revisions that leave the three-month trend at a mere 20k. This may be another summer slowdown, but it takes away some of the sense that job growth was picking up after a sluggish 2025.

Given uncertainty about breakeven employment levels, we would normally say to focus on the direction of the unemployment rate. That is still probably right. But the household survey came with its own caveats, namely a further drop in the participation rate, which follows on the back of a particularly large decline in June (Figure 1). The result is that even in the household survey there has yet to be any pickup in the employment-to-population ratio.

Figure 1: Labor force participation rate

Percent, sa, both scales



The Fed has some decisions to make

For the Fed, the employment report should marginally lower the chances of a hike at the September meeting, though the more important driver of the FOMC's decision will be in the upcoming inflation reports. The low unemployment rate sup-

ports the notion that the labor market is broadly healthy. At the same time, it doesn't suggest there is overheating; if anything, the July jobs report brought renewed evidence of decelerating wage growth.

For next week's CPI report, our July forecast for core CPI of 0.22%/m is probably not quite firm enough to prompt a hike from the FOMC at the September meeting, though repeated prints closer to 0.3% could do it. One thing we are watching for is any rebound in core goods prices after a two-month stretch in which they fell. An important part of our thesis for sticky inflation into next year is that goods inflation will firm again. But if core goods keep surprising to the downside, it will start to challenge that forecast.

In other FOMC news, the administration restarted its attempt to remove Governor Cook this week, [sending her a letter](#) to say they were "considering" removing her and giving her three weeks to respond to prior accusations of mortgage fraud. Assuming that the administration then attempts to remove her after that deadline, we expect a renewed legal challenge from Cook. Our working assumption is that a court would again stay any immediate termination pending further review, though this situation raises some new uncertainty about whether Cook will attend the September meeting.

The other key release next week is retail sales. Our Chase card data is signaling a particularly weak month. We forecast that total sales will fall 0.4% with control sales down 0.3%. That outcome would be consistent with no change in real consumer spending in July. Even if our weak forecast is realized, though, we still see upside risks to our 2Q real spending forecast of 1.75%. One factor that could be depressing July sales is Amazon shifting their annual Prime Day sale from July to June this year, which also caused other retailers to make similar moves. Thus, it will be prudent to consider June and July retail sales collectively.

The mixed signals in the jobs report

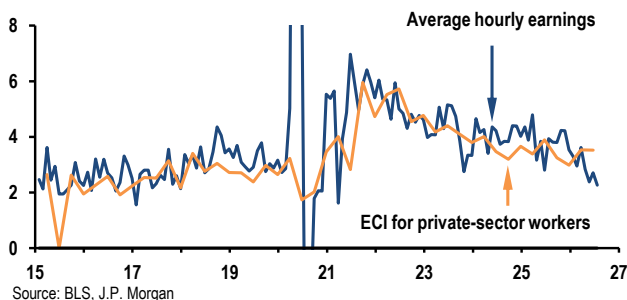
The one constant since late last year is that the unemployment rate almost always has been moving lower. That trend remains intact through July. But some other pieces of the labor report have recently dimmed. In the establishment survey, the 23k decline was led by a 50k drop in local government educational employment, though private jobs only rose 30k, with a three-month average of 40k. The slowdown in private employment was concentrated in the service sector, where employment in retail, transportation and warehousing, and leisure and hospitality all declined, and healthcare continued to gradually decelerate. However, this slowdown could in part be a repeat of a similar seasonal dynamic observed during the prior couple summers—in which case we should expect stronger numbers in a few months.

Note also that while seasonal adjustment challenges could have influenced the size of the drop in education jobs in July, they also have a cyclical dimension. After steady growth in employment in earlier years, since last October employment first flattened out, and then since April jobs have actually declined. This could be a delayed effect of the end of pandemic-era federal assistance. Although that ended in the fall of 2024, school districts may have been able to temporarily use other funding to keep employment up for some time longer. Most school districts start their fiscal year on July 1, so [reduced staffing](#) would have been targeted to take effect by then. That could also imply that the sharp job cuts of the last few months will also slow or stop in coming months.

A return to sluggish job growth may not just be a weak labor supply story, though, as wage growth continues to decelerate. Last week we remarked that compensation growth in the ECI was showing some signs of leveling off given the firmness in benefits, but we may have spoken too soon. Average hourly earnings in July rose just 0.05%/m, with the three-month rate slowing to just 2.3% saar, a figure now well within the pre-COVID range (Figure 2).

Figure 2: Average hourly earnings, employment cost index

%ch 3m, saar



One of the other surprising developments in this report is the behavior of participation. Since the last update to the household survey population controls in January, the participation rate has fallen 0.7%-pts, with prime-age participation down by almost as much. A more charitable interpretation of these data is that prime-age participation is unchanged from a year ago, and in retrospect it may be that the more elevated participation rates between August of last year and this May were an outlier that has now been corrected (Figure 1). If that is the case, then there is less need to place an asterisk next to the falling unemployment rate.

Business surveys signal growth pickup

Despite subpar job growth, the final PMIs and the ISM surveys for July all pointed to accelerating growth early in 3Q. Of note, the final services PMI business activity index was revised up a point from the flash reading, and at 54.6 has now

essentially reversed all the weakness from 1H26, while coming close to equalling the high of last year. The press release estimated that level is consistent with 2.3% GDP growth. The ISM services business activity index also rose almost 4 points, and is near the highs of the last few years. The combination of solid business surveys and an expectation that inventory re-stocking is overdue has led us to upgrade our 3Q GDP growth forecast from 1.75% to 2.5%.

Manufacturing also turned in a good performance. The PMI composite was stable at 53.9 between June and July and is just below the cycle high of 55.1 in May. Meanwhile, the ISM counterpart rose over 2 pts to 55.6, hitting yet another cycle high. Both surveys suggest manufacturing inventories were growing in 2Q and into July, another confusing signal given that the national accounts showed another surprisingly large decline in 2Q real manufacturing inventories.

But the surveys continued to flash the same warning signs on inflation that they have in recent months. Surely some of this pressure reflects high energy prices and should moderate when gasoline prices drop. In the meantime, price metrics across all the surveys are still elevated. There has been some pullback in the manufacturing measures even as they remain high, while services prices in both the PMI and ISM are around cycle highs.

Productivity not quite as bad as feared

Productivity growth came in materially stronger than we had expected in 2Q: 1.4%q/q saar versus our forecast of just 0.5%. Alongside an upward revision to 1Q, the over-year-ago rate was left at a still-decent 2.2%. This, however, is a bit misleading, as growth was just 1.2% over the most recent three quarters. For now we aren't too concerned since these numbers are volatile and could accelerate again soon, but it does underscore the risk that the brisk gains of the past few years won't be sustained, at least until AI starts to deliver more of an aggregate impact.

Despite slow productivity growth in recent quarters, the growth rate of unit labor costs is still not that high: 1.4% over the last four quarters, and still only 1.6% over the last three quarters when productivity growth was low. Thus, even as we had previously flagged the risk that a tightening labor market could start to exert some upward pressure on wages and inflation given the low unemployment rate, the combination of productivity growth and wage growth doesn't suggest the labor market is creating much if any upward pressure on inflation.

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North America Economic Research

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Data releases and forecasts

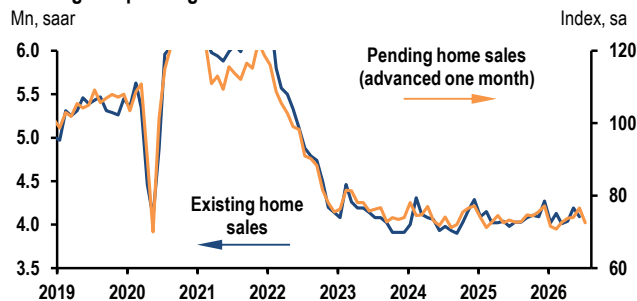
Sources for all: ADP/Moody's Analytics, BEA, BLS, Census Bureau, Conference Board, Department of Labor, Federal Reserve Board, ISM, J.P. Morgan forecasts, NAHB, NAR, NFIB, NY Fed, Philadelphia Fed, S&P Global, Standard & Poor's, University of Michigan, US Treasury

Tue	Existing home sales	Apr	May	Jun	Jul
Aug 11					
10:00am	Total (mn, saar)	4.04	4.19	4.09	<u>4.05</u>
	%m/m	0.7	3.7	-2.4	<u>-1.0</u>
	%oya nsa	2.0	0.3	7.9	<u>0.5</u>
	Months' supply (nsa)	4.5	4.5	4.6	
	Median price (%oya)	0.8	1.8	1.8	

We expect existing home sales to fall 1.0%/m/m in July to 4.05mn from 4.09mn in June. Pending home sales, which typically lead existing home sales by one to two months, dropped by 5.4% in June amidst rising mortgage rates. Rates have moved up by 21bps since the beginning of June, likely keeping homebuyers on the sidelines and exacerbating the lock-in effect that limits the supply of homes.

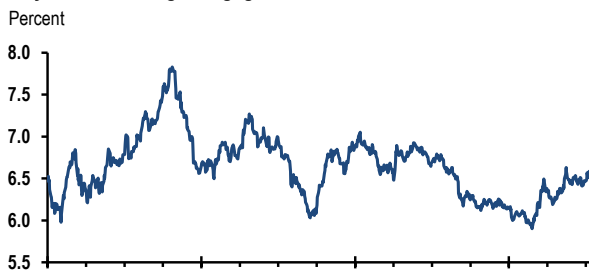
Homes for sale were up 1.3%oya in June, reflecting a sustained increase in median sales prices, which rose 1.8%oya, similar to the earlier month and marking the highest pace since fall of 2025. The combination of the lock-in effect and limited demand due to affordability concerns is likely to keep a lid on any material improvement in sales in the coming months, absent a material moderation in mortgage rates.

Existing and pending home sales



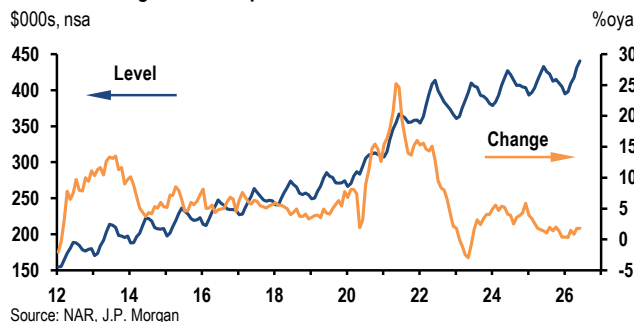
Source: NAR, J.P. Morgan

30-year conforming mortgage rate



Source: Optimal Blue, J.P. Morgan

Median existing home sale price

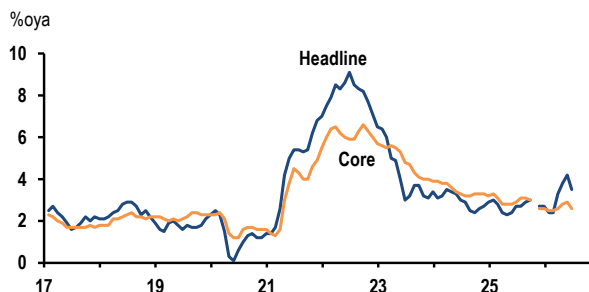


Source: NAR, J.P. Morgan

Wed	CPI	Mar	Apr	May	Jun
Aug 12	%m/m, sa, unless noted				
8:30am					
	Total	0.87	0.64	0.47	<u>0.12</u>
	%oya (nsa)	3.3	3.8	4.2	<u>3.4</u>
	Core	0.20	0.38	0.21	<u>0.22</u>
	%oya (nsa)	2.6	2.8	2.9	<u>2.5</u>
	Core goods	0.1	0.0	-0.1	<u>0.1</u>
	Household furnishings and supplies (3)	-0.2	-0.5	-0.2	<u>-0.2</u>
	Apparel (3)	1.0	0.6	0.3	<u>0.0</u>
	New vehicles (4)	0.1	-0.2	-0.3	<u>0.1</u>
	Used vehicles (2)	-0.4	0.0	0.1	<u>0.2</u>
	Medical care goods (1)	-1.0	-0.4	-0.7	<u>-0.1</u>
	Recreation commodities (2)	0.5	0.1	-0.1	<u>0.1</u>
	Education and communication goods (1)	0.3	0.5	0.0	<u>1.5</u>
	Alcohol (1)	0.3	0.3	0.1	<u>0.1</u>
	Tobacco and smoking products (1)	0.1	0.5	1.0	<u>0.1</u>
	Core services	0.2	0.5	0.3	<u>0.2</u>
	Lodging (1)	0.2	2.4	0.4	<u>-0.3</u>
	OER (27)	0.3	0.5	0.3	<u>0.3</u>
	Rent (8)	0.2	0.5	0.4	<u>0.2</u>
	Medical care services (7)	0.0	0.0	0.5	<u>0.2</u>
	Public transportation (1)	1.5	1.6	0.3	<u>1.0</u>
	Education and communication services (5)	0.2	-0.1	0.9	<u>0.1</u>
	Energy (7)	10.9	3.8	3.9	<u>-1.2</u>
	Motor fuel (3)	21.5	5.7	6.8	<u>-2.6</u>
	Fuel oil and other fuels (0)	30.7	5.8	3.8	<u>0.3</u>
	Electricity (2)	0.8	2.1	0.6	<u>0.4</u>
	Gas service (1)	-0.9	-0.1	-0.5	<u>0.5</u>
	Food (13)	0.0	0.5	0.2	<u>0.3</u>
	CPI, all items NSA index	330.213	333.020	335.123	<u>333.987</u>
	CPI, all items SA index	330.293	332.407	333.979	<u>332.980</u>
	CPI, core SA index	334.165	335.423	336.121	<u>336.803</u>

We expect that headline CPI rose 0.12%/m/m 3.4%oya in July and that core increased 0.22%/m/m (2.5%oya), with a 0.1% rise in core goods prices and 0.2% increase in core services. Swings in energy prices have driven large moves in headline CPI over the last four months, but abated some in July. Based on energy futures, we look for retail gasoline prices to stay near \$4.0/gallon for the remainder of the year. These forecasts are obviously sensitive though to changing developments in the Middle East.

Headline and core CPI



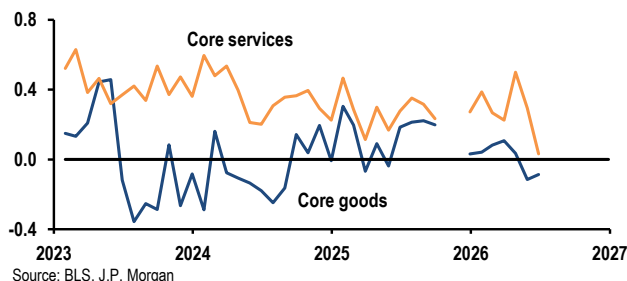
Source: BLS, J.P. Morgan

June's core CPI surprised sharply to the downside, falling 0.02%/m/m whereas we and consensus had both looked for a 0.2% increase that month. While we expect a return to firmer inflation in July, we don't look for payback for June. June's surprise was driven by falling prices for three key service items: hotels, auto insurance, and wireless phone service. Hotel prices could fall further as we move past the World Cup; auto insurance prices likely won't rebound given the signal from state approved price changes and industry profits; and wireless phone service was just reversing a spike the prior month.

As for goods prices, they've dropped in each of the last two months, making this the softest period for goods pricing since 2024. Given that tariffs peaked in late 2025/early 2026, it is not too surprising to see goods inflation coming down. Still, we expect a return to moderate goods inflation in July, and think that the combination of some further tariff pass-through, rising tech prices, and the signal from business surveys is consistent with additional goods prices increases later this year.

CPI core goods and services

%m/m, sa



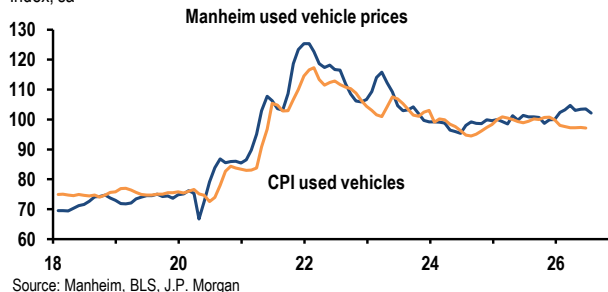
Energy: We expect a 1.2%/m/m decline in total energy, led by a 2.6% fall in seasonally adjusted motor fuel prices. Electricity prices took a large 1.0%/m/m dip in June but we would expect those to revert to their long-run growth trend in July. Wholesale natural gas prices declined 8% in July, though based on prior-month increases we still expect a small gain in retail utility prices.

Food: Food prices have recently been steadily advancing at a 3% annualized pace. This growth rate has changed little over the last year despite large swings in farm prices and the PPI for consumer foods. Both the PPI and farm prices fell on an over-year basis early this year after brisk increases in 2025, though the latest dip was brief, with PPI recovering near CPI in recent months and farm prices in June flat to a year earlier. We expect food inflation to remain near recent levels, though it may pick up slightly in July to 0.3%/m/m after two moderate 0.2% prints in May and June.

New and used vehicles: Industry data continues to point to ongoing stability in new vehicle prices, which have hardly changed over the last few years. As for used vehicle prices, the CPI has still never responded to an earlier jump in wholesale prices reported in the Manheim index. It's possible that CPI will just never reflect the bump in wholesale prices, as was the case in nearly 2023, though in that instance the Manheim index eventually converged back to CPI, which has yet to happen this time. We look for a small 0.2% bump in used vehicle prices.

Used vehicle prices

Index, sa



Medical care goods: Medical care goods have been declining all this year. That likely stems from Medicare [negotiating](#) down drug prices as part of the 2022 IRA, with reductions taking effect at the start of this year, along with lower list prices on GLP-1 drugs and more generics. The pace of price declines did slow, though, in June, and we look for only a small decline in July.

Education and communication goods: This segment includes computers and smartphones, and the former category could drive a large increase in July. Apple [raised prices](#) on computers by at least 15% and tablets by at least 20% on June 25. Apple accounts for about [15%](#) of global consumer PC shipments and [40%](#) of tablets, though we would expect a higher US market share in dollar terms. [IDC data](#) shows the combined value of global PC and tablet sales is split roughly 80/20. If we assume Apple has 20% US PC share and 50% tablet share, with an average increase of 15% for PCs and 20% for tablets, then the combined impact on US PCs and tablets would be $80\% \times 20\% \times 15\% + 20\% \times 50\% \times 20\% = 4.4\%$. Computers, peripherals, and smart home devices account for 39% of education and communication goods. If we assume 80% of that category is PCs and tablets, then the overall impact on education and communication goods would be 1.4%. We round to 1.5% given other companies were also raising some prices.

Apparel: Apparel prices jumped sharply at the start of the year, but growth subsequently decelerated and prices fell in June. The pattern this year likely reflected new seasonal items

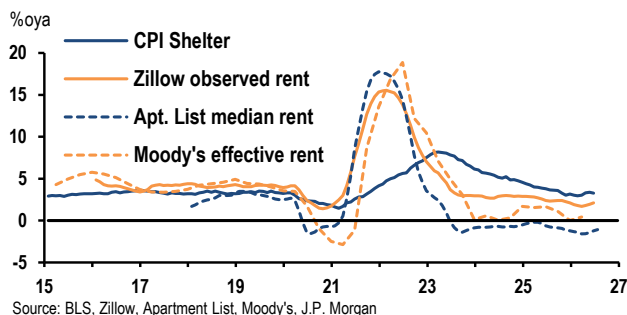
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that had to be priced up because of tariffs, but that effect is probably over now, and the end of IEEPA allowed apparel tariffs to drop. We assume no further change in July.

Recreational goods and household furnishings: Like with apparel, these categories should be sensitive to tariffs. Household furnishings and supplies have been gradually falling since February, and we expect that to continue. We thought recreational goods could also be stabilizing given no change in prices between March and May, but prices then surged again in June, in both sporting goods and toys. The rise in toy costs is coming from the sub-category that excludes video game consoles, so that isn't just another artifact of higher memory prices. Given the large increase in June we look for only a small rise in July. Note that Xbox prices increased August 1, something to look out for in the following report.

Rent and OER: The trend has been toward steadily softer housing inflation this year, with the exception of April when missing data from last October's government shutdown was incorporated. Indicators of new market rents from sources such as Zillow and ApartmentList also continue to run soft. We look for July rent and OER to rise at a similar pace to the average of 1Q and June.

CPI shelter vs. alt data rent measures

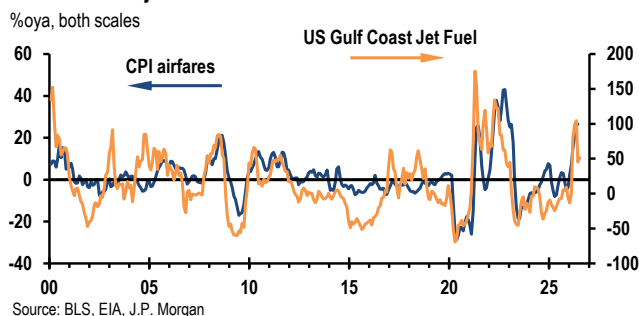


Lodging away from home: This category took a large step down in June as the pricing window started to move past the World Cup. About half the sample is for bookings within five weeks, so the July sample will further weed out World Cup stays. That being said, industry data suggests that the price for stays just after the end of the World Cup remained somewhat high. Smith Travel Research data showed the price of a completed stay in the week ending July 25 still up 5.2%oya, though that is down from 9.5% in the week ending June 27. We expect that most of the downward adjustment in the CPI has now been completed, as the index is the lowest since March.

Airfares: Airfares were up 27%oya in June as fuel costs have soared this year, with ticket prices continuing to rise through June. Jet fuel prices are off their highs, which may offer a lit-

tle relief in the near-term, though our equity analysts have noted [limited seating capacity](#) through 3Q. Data collected from Google Flights still suggests prices rose in July, and we assume overall public transportation increases 1.0%.

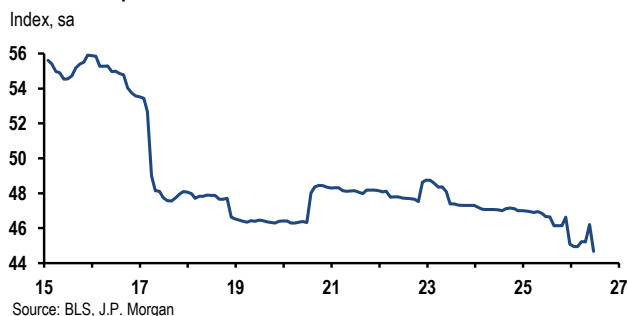
CPI airfares vs. jet fuel



Auto insurance: Prices have fallen sharply in the last couple months. Industry profit ratios had been high, and data on state-approved price changes have been consistently negative this year, so we don't look for a rebound. We feel less sure about whether price cuts could continue. The 2026 year-to-date change is similar to a composite of state-approved price changes, though CPI ran well ahead of these in the last couple years, and so may fall more. However, our assumption is that monthly price declines, if they were to continue, would shrink, as the declines of the last couple months were unusually large.

Education and communication services: There was a big price drop in wireless cell service plans in June, though this was just reversing a spike in May, and we look for things to settle down in July. Price changes have become noisier since the BLS adopted a [new methodology](#) a year ago. Separately, delivery service charges rose sharply through May before falling slightly in June; they could edge down again in July given lower fuel surcharges from [UPS](#) and [FedEx](#).

CPI wireless phone services



Medical care services: Medical care services prices have mostly held at 3-4%oya over the last couple years, though soft readings in three of the last four months left inflation ris-

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United States
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ing just 1.2% saar over that period, and pushed the over-year-ago down to 2.9%, the lowest in 18 months. The data is choppy and our assumption is this will re-firm a bit in July.

Thu Aug 13 8:30am	PPI %m/m, sa, unless noted	Apr	May	Jun	Jul
	Final demand	1.1	0.6	-0.3	<u>0.2</u>
	%oya (nsa)	5.7	6.0	5.5	<u>4.9</u>
	Core	0.7	0.1	0.2	<u>0.2</u>
	%oya (nsa)	4.9	4.6	4.7	<u>4.1</u>
	Energy	7.2	8.4	-6.4	<u>0.8</u>
	Food	0.2	0.5	-0.6	<u>0.4</u>
	Core goods	0.7	0.7	0.2	<u>0.2</u>
	Services	0.7	-0.1	0.2	<u>0.2</u>
	Construction	-0.1	0.1	0.1	<u>0.7</u>
	Intermed. processed goods	2.7	2.8	-1.2	
	Core intermed. processed	1.7	1.7	0.6	

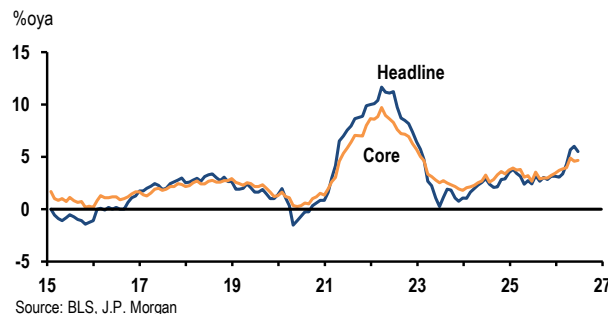
We project that the final demand producer price index (PPI) rose 0.2%/m/m in July (4.9%oya), a moderate monthly gain following the firm prints at the beginning of the year. Energy PPI had grown by 31% cumulatively since the beginning of the year through May before falling 6.4% m/m in June. For July, both propane and gasoline prices rose modestly in the data collection window, following renewed escalation in the Middle East conflict.

We look for food PPI to tick higher at 0.4%, following a 0.6% drop in June, as agricultural commodity prices inched up in July. Away from food and energy, we expect core PPI prices to rise 0.2% (4.1%oya), similar to the prior month.

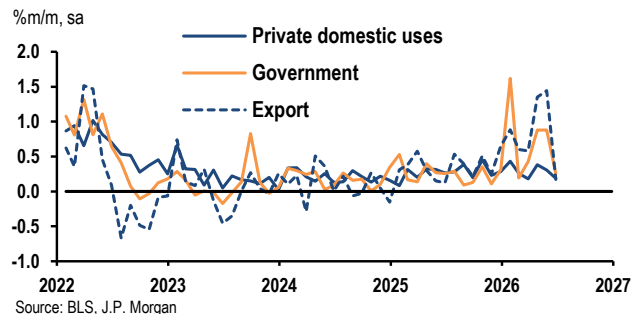
We expect core goods rose 0.2%. While the prior firm readings were driven by sales to government or exports, this segment began to tick lower in June, with private domestic sales remaining in a narrow range since the beginning of the year. Growth in core goods inputs to goods producers at various intermediate stages of demand slowed in the last report, which could point to easing inflationary pressures in the pipeline.

We expect the core services series to also increase 0.2%, following the step down in transportation and warehousing. This recent volatility in the category likely reflects the swings in global energy prices and could continue to moderate in the coming months. However, price indexes from the services surveys remain a concerning indicator, with both the PMI and ISM metrics of cost inflation rising in July.

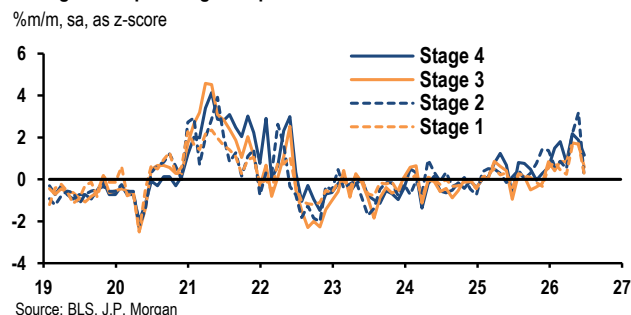
Headline and core PPI



PPI core goods components, by buyer



Core goods inputs to goods producers across intermediate demand



Thu Aug 13 8:30am	Jobless claims Thousands, sa	New claims (wr.)		Continuing claims		Insured Jobless, %
		Wkly	4-wk avg	Wkly	4-wk avg	
	May 30	225	215	1786	1778	1.2
	Jun 6	230	219	1800	1786	1.2
	Jun 13 ¹	227	224	1812	1792	1.2
	Jun 20	216	225	1806	1801	1.2
	Jun 27	217	223	1821	1810	1.2
	Jul 4	217	219	1798	1809	1.2
	Jul 11	209	215	1789	1804	1.2
	Jul 18 ¹	189	208	1777	1796	1.2
	Jul 25	198	203	1801	1791	1.2
	Aug 1	199	199			
	Aug 8	<u>205</u>	<u>198</u>			

1. Payroll survey week

We expect initial jobless claims to tick up to 205k in the week ending August 8, from 199k in the prior week. Claims have been quite low since April, and then in late July dropped to 189k, the lowest in decades, with only a small rebound since then. We previously thought this could be seasonal noise,

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North America Economic Research

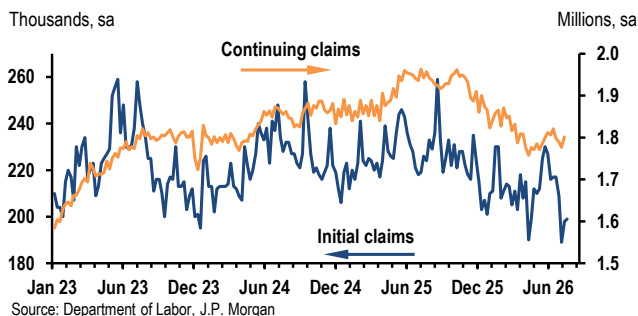
07 August 2026

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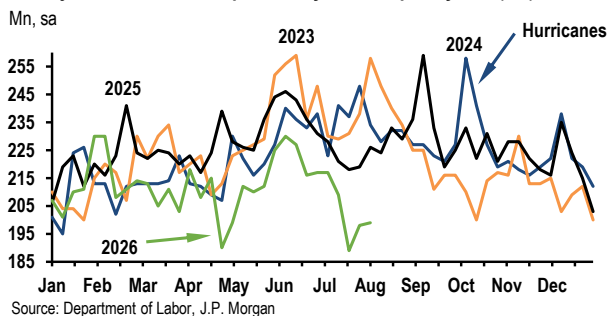
though as it has continued it is looking increasingly like labor market strength.

Continuing claims have been moving in line with seasonal norms. The four-week average continues to mark cycle-low over-year-ago growth, falling 8.0% in the last report. Continuing claims have been doing a good job in signaling the slide in unemployment.

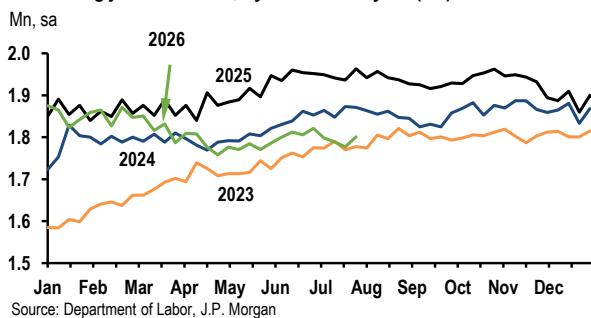
Jobless claims



Initial jobless claims, comparison by week to prior years (SA)



Continuing jobless claims, by week of the year (SA)



Fri Aug 14 8:30am	Retail sales				
	%m/m, sa				
	Apr	May	Jun	Jul	
Total	0.7	1.0	0.2	-0.4	
Ex autos	0.9	1.0	-0.2	-0.3	
Ex autos and gas	0.6	0.8	0.4	-0.2	
Building materials	0.1	-0.3	0.1	0.2	
Vehicle dealers and parts	-0.4	1.1	1.9	-0.9	
Gasoline stations	3.7	2.6	-5.3	-1.5	
Food services	1.0	1.2	0.1	0.0	
Control group ¹	0.6	0.8	0.5	-0.3	
Ex. autos and building mat.	1.0	1.1	-0.2	-0.4	

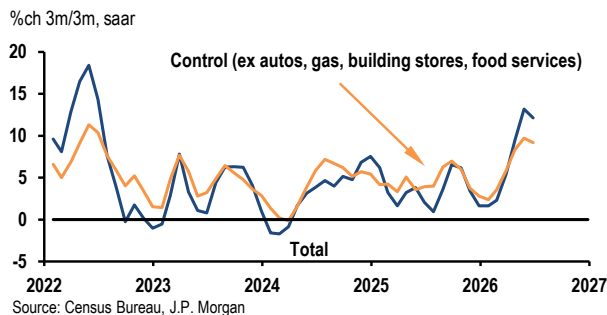
1. Total ex. gasoline, automotive dealers, building materials, and food serv.

We expect total retail sales to fall 0.4%/m/m in July, which combines another fall in gasoline spending with softness in other categories. The vehicle dealers and parts category is expected to fall 0.9%, as unit auto sales fell 1.4%.

Growth in sales at building material stores is likely to remain stable at recent levels, with employment in the sector holding within a narrow range in recent months. We look for continued weakness in food services, with a flat reading in July, as informed by our [Chase card data](#)¹.

The control group (which excludes food services, autos, gas, and building material stores) is expected to contract by 0.3% in July, also informed by our card data. Some of this should reflect Amazon having moved their annual Prime Day promotion from July to June this year, which caused other retailers to also adjust the timing of promotions. The story isn't completely clear-cut though, since while our card data do show this effect, the Census Bureau retail sales figures didn't show an exceptionally large rise in sales at nonstore retailers in June. An additional factor that could weigh on sales is the run-off of tax stimulus, which was most intense in March and April. [We've previously remarked](#) that any boost from the FIFA World Cup is likely to be minimal and reflected in restaurant spending spread over June and July.

Retail sales and food services sales: total and control



1. Index File 2.0: Source: JPMorgan Chase Bank, NA, JPMC Index File 2.0, select Chase credit and debit card transaction data. See [here](#) for disclaimers and methodology.

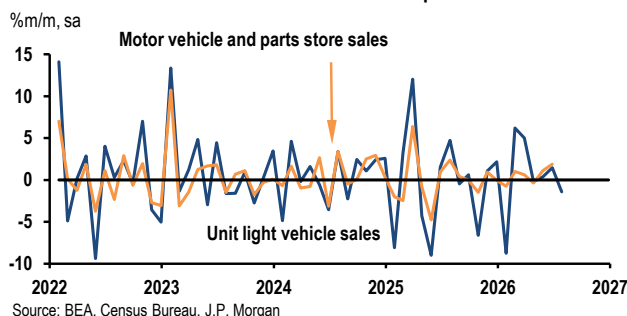
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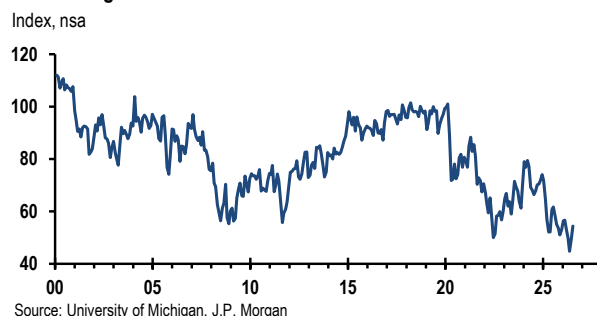
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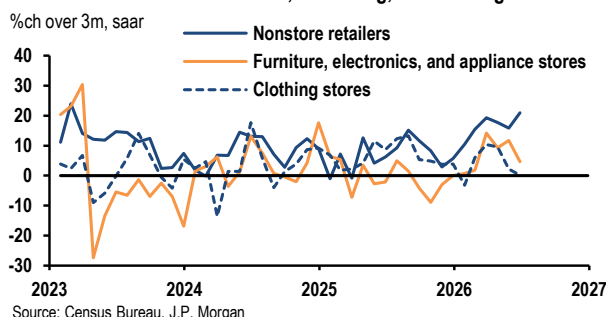
Unit vehicle sales vs sales at motor vehicle and parts dealers



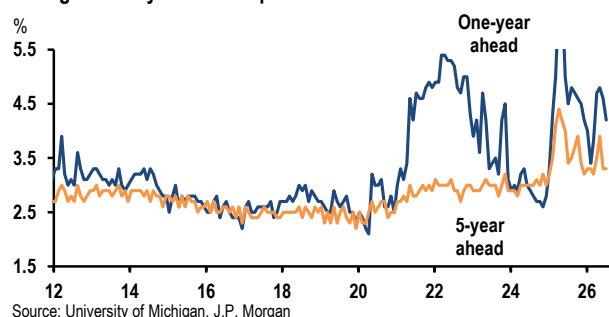
U. of Michigan consumer sentiment index



Retail sales at nonstore retailers, furnishing, and clothing stores



Michigan survey inflation expectations



Consumer sentiment					
Fri	Michigan preliminary				
Aug 14					
10:00am					
		May	Jun	Jul	Aug
	Univ. of Mich. Index (nsa)	44.8	49.5	55.2	<u>52.0</u>
	Current conditions	45.8	47.7	54.8	
	Expectations	44.1	50.7	55.4	
	Inflation expectations				
	Short term	4.8	4.6	4.2	
	Long term	3.9	3.3	3.3	

Review of past week's data

Sources for all: ADP/Moody's Analytics, BEA, BLS, Census Bureau, Conference Board, Department of Labor, Federal Reserve Board, ISM, J.P. Morgan forecasts, NAHB, NAR, NFIB, NY Fed, Philadelphia Fed, S&P Global, Standard & Poor's, University of Michigan, US Treasury

We expect the University of Michigan consumer sentiment index to fall to 52.0 in the preliminary August report, down from 55.2 in the final July print. The recent improvement in the index was broad-based across both the current conditions and expectations components, bringing them close to levels seen prior to the the Middle East conflict, though a renewed rise in gasoline prices could weigh on sentiment.

Inflation expectations have moderated since peaking in May. The one-year-ahead expectations metric edged lower to 4.2% in the final July report, down from 4.6% in June, while five-year-ahead expectations remained stable at 3.3%.

S&P Global manufacturing PMI (US final) (Aug 3)

Index, sa					
	Jun 25	Jun 26	Flash Jul 26	Final Jul 26	
Composite	52.9	53.9	53.8	<u>54.0</u>	53.9
Output	53.1	56.2	53.6		53.9
ISM-weighted composite	52.8	54.0	53.9		53.9

ISM manufacturing (Aug 3)

Sa				
	May	Jun	Jul	
Overall index	54.0	53.3	<u>54.0</u>	55.6
Production	56.8	56.0		56.7
New orders	54.3	52.2		58.5
Employment	48.6	49.7		52.8
Supplier deliveries	60.6	57.4		58.9
Inventories	49.9	51.4		51.2
Export orders	50.6	48.5		53.0
Imports	53.0	52.9		55.7
Prices	82.1	73.0		71.1

Manufacturing surveys continue to signal resilient growth in the sector into the second half of the year, even as supply-chain challenges mounted and inflationary pressures, though easing, stayed elevated. The July ISM composite rose to its highest level since May 2022 at 55.6, up from 53.3 in the prior month, along with a solid print of 53.9 in the final PMI report. While [the PMI survey continued](#) to point to an unwind

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in earlier precautionary demand behind softer prints on output and new orders, the ISM counterpart remained on an upward trajectory. Goods-producing industries have been performing relatively well, at least by the standards of recent years. Inflationary pressures continued to moderate, with input prices in the PMI falling to 66.7 in the final July reading, erasing roughly half of the surge since March, coupled with output prices easing to 60.2 from 61.0.

Construction spending (Aug 3)

%m/m, sa

	Apr		May		Jun	
Nominal	0.3	-1.4	0.4	0.0	0.4	-0.1
Private	0.3	-2.2	0.0	-0.2	0.0	-0.1
Residential	4.0	-3.9	0.3		0.0	-0.3
New residential	0.5	0.7	-0.4	-0.2	-0.4	-0.6
Improvements	4.6	-10.1	0.9	-0.4	0.0	0.1
Nonresidential	-0.5	0.0	-0.3	-0.1	-0.4	0.1
Public	0.5	0.9	0.5	0.6	0.3	0.0

Private construction spending edged down 0.1%/m/m in June, and the prior two months were also revised lower. On a year-ago basis, total construction spending is now running 3.2% below June 2025, with private construction down 4.8%ooya. New private residential spending declined 0.3%/m/m in June, with continued weakness in the new single-family segment, which fell 0.6% on the month; multi-family spending weakened 0.7%. Private nonresidential spending nudged up 0.1% in June. Data-center spending continued to climb, up another 7.0%/m/m (+45.8%ooya), remaining a clear bright spot.

JOLTS (Aug 4)

Thousands, sa, unless noted

	Apr		May		Jun	
Job openings	7585		7594	7537	7500	7359
Job openings rate (%)	4.6		4.6			4.4
Hires	5215		5470	5252		5348
Hires rate (%)	3.3		3.3			3.4
Separations	5038		5404	5260		5351
Separations rate (%)	3.2		3.20			3.4
Quits	3043		3065	3153		3232
Quits rate (%)	1.9		1.9			2.0
Layoffs	1667		1708	1761		1766
Layoffs rate (%)	1.00		1.1			1.1

The June JOLTS showed tentative signs of improvement. The job openings rate has now fallen 0.1% in each of the last two months. But this still hasn't fully reversed a 0.4% spike in April, and the opening rate remains 0.4% above the December cycle low. The vacancy/unemployment ratio is also still edging up. The June ratio was probably boosted by the unusually large drop in the June participation rate, which could have temporarily depressed the number of unemployed. Still, even in May, the ratio was the highest since the start of 2025. The hires rate rose 0.1% in June, and while that is still slightly below March's recent high, it is 0.3% above February's cycle low. Areas with the clearest sustained increase in hiring rates this year have included manufacturing, retail trade, and professional and business services. However, this has yet to lead to any clear pickup in quit rates. Layoffs are still low.

The layoff rate held at 1.1% in June, in line with the trailing 12-month average.

S&P Global services PMI (US final) (Aug 5)

Index, sa

	Jun 25	Jun 26	Flash Jul 26	Final Jul 26	
Business activity	52.9	51.2	53.6	53.5	54.6
New business	52.1	51.7	53.7		54.2

ISM services (Aug 5)

Sa

	May	Jun	Jul	
Headline composite	54.5	54.0	54.5	54.1
Business activity	57.7	55.4		59.1
New orders	57.3	55.1		57.2
Employment	47.9	51.2		47.4
Prices	71.3	67.7		70.3

The PMI and ISM services surveys followed their manufacturing counterparts higher in July. The ISM services composite inched up to 54.1 from 54.0 in the prior month, holding within the narrow range it has occupied for much of this year, though the activity index jumped to 59.1 in July from 55.4. Business activity in the final PMI services survey rose to 54.6, its best level since last fall, from 53.6 in the flash and 51.2 in June. Both press releases suggested that the July strength may have been temporary: in the PMI, the World Cup and US Independence Day events were cited as a potential reason for improving demand reported among consumer-facing service providers, while the ISM [noted](#) that respondents' comments suggested the World Cup increased business activity and new orders in July. Signs of continued price pressures were the main note of caution in both surveys.

Productivity and costs (Aug 6)

Nonfarm business sector, %q/q, saar, unless noted

	4Q25	1Q26		Prel 2Q26	
Productivity	1.6	0.3	0.8	0.5	1.4
%ooya	2.5	2.8	2.9	1.9	
Output	1.3	1.0	1.5	1.7	
%ooya	2.7	3.2		2.3	2.5
Hours	-0.2	0.7	0.7	1.3	0.3
%ooya	0.2	0.4	0.4	0.5	
Hourly compensation	3.7	2.4	2.1	2.5	2.7
%ooya	4.3	3.3		3.6	3.7
Unit labor costs	2.1	1.8	1.3	2.1	1.3
%ooya	1.8	0.5		1.7	

Nonfarm business productivity rose 1.4%/q/q saar in 2Q. The 1Q figure was also revised up from 0.3% to 0.8%, which leaves the 2Q over-year-ago rate at a solid 2.2% pace. The over-year-ago figure continues to be lifted by a strong 3Q25, whereas over the last three quarters productivity has run a more subdued 1.3%. The upside productivity surprise was driven by a downside surprise in hours worked. While payroll hours worked in the monthly jobs report rose 1.3%/q/q in 2Q, hours worked in this report, which includes the self-employed, only rose 0.3%.

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Labor-market report (Aug 7)

Sa	May	Jun	Jul		
Payroll employment					
(ch, m/m, 000s)	429	63	67	20	<u>75</u> -23
Private payrolls	97	61	49	30	<u>75</u> 30
Goods-producing	7	3	40	14	<u>10</u> 25
Construction	6	2	14	5	<u>5</u> 22
Manufacturing	-2		3	11	<u>5</u> 5
Service-providing	422	60	47	6	<u>65</u> -48
Private service-providing	90	58	39	16	<u>65</u> 5
Wholesale trade	4	3	2	3	5
Retail trade	8	5	-8	-4	-19
Professional services	14	6	36		18
Temporary help	-4	0	9	11	3
Education/health	45	24	69	54	25
Leisure and hospitality	40	42	-64	-43	-40
Government	32	2	8	-10	<u>0</u> -53
Average weekly hours	34.3		34.3	34.3	<u>34.3</u> 34.3
Index, hrs worked (%m/m)	0.1		0.1	0.0	<u>0.0</u>
Hourly earnings (%m/m)	0.3		0.3		<u>0.2</u> 0.1
(%oya)	3.4	3.3	3.5		<u>3.5</u> 3.2
Unemployment rate (%)	4.3		4.2		<u>4.3</u> 4.1
Participation rate (%)	61.8		61.5		<u>61.7</u> 61.4

The July jobs number surprised to the downside, as nonfarm jobs declined by 23,000. The prior two months' job growth estimates were revised down by a total of 103,000. The July weakness was driven by a, perhaps quirky, 50,000 decline in local government education jobs. But even private job growth was a little soft, rising only 30,000 last month. Seasonal adjustment of this series can be tricky around the summer recess. To underscore this, on a non-seasonally adjusted basis, employment in this sector declined by 1.038 million last month, as opposed to a decline of 1.022 million last July. So even small changes in the multiplicative adjustment factor can impart large changes in the seasonally adjusted series. The other major soft spot in this report was average hourly earnings, which barely rounded up to a 0.1% gain last month, and the year-ago increase cooled down to only 3.2%. In better news, the unemployment rate declined another tenth to 4.1% and is now back to levels seen early last year. Unfortunately, that occurred alongside another tick lower in the labor force participation rate to 61.4%. Since the beginning of the year the participation rate has fallen by a full percentage point.

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